

CATCH THEM SMALL

The new buzz on Dalal Street is PIPE—private investment in public equity. Private equity funds which nurtured new tech or talent now hunt for bargains on the bourses for small and mid cap companies.

■ By Malini Bhupta

When steel-pipe maker Welspun Gujarat Stahl Rohren (WGSR) won the contract for the world's deepest gas pipeline in the Gulf of Mexico from El Paso, not only did it earn accolades from National Geographic, but it also had Europe's largest private equity firm 3i Investments sit up and take notice. Says Anil Ahuja, managing director and co-head, Asia, 3i Investments: "WGSR is among the top few global suppliers of line pipes in the oil and gas sector. It's a space we liked but could not get an unlisted player to invest in, so we picked up a 6.6 per cent stake in WGSR for \$80 million (Rs 320 crore) from the secondary market."

Mergers and acquisitions are passé, the new buzz on Dalal Street is PIPE—private investment in public equity—as private equity players make the 8,000-strong listed companies their new target. While the foreign institutional investors have been busy chasing the blue-chips, the private equity players have been quietly

hunting on Indian bourses for small and mid-cap companies. And the sectors seeing maximum PIPE deals are cement, construction, oil and gas and infrastructure.

As a trend, PIPE is no more than five years old, even in the global markets. From \$20 billion (Rs 80,000 crore) in 2000, global PIPE deals have risen to \$45 billion (Rs 1.8 lakh crore) in 2007. Till October, \$1.71 (Rs 6,840 crore) billion had been invested in 16 PIPE deals in India against \$1.25 billion (Rs 5,000 crore) across 36 deals in 2006. While investment has always been al-

